34

Building the perfect GST in a low-capacity state

Many of the themes of this book come together in the GST reform. What is the best path to the GST?

From the viewpoint of state capacity, it makes sense to start with a low single rate. This is the easiest GST to implement, as it is administratively simple and the incentives for evasion are lowest. To make this concrete, consider the possibility of a single flat rate of 10 per cent GST with a comprehensive base. This draws on the global wisdom that the right way to do a GST is to have a single rate. A single 10 per cent rate applied on 70 per cent of the economy yields 7 per cent of GDP as tax revenue, and even if we actually obtain a part of this, we are broadly okay. At this low rate, it would have been possible to avoid all exclusions. Petroleum products could have gone in, real estate could have gone in.

To many of us in India, a single rate appears sharply different from the present arrangements. It is always possible to layer non-VATable sin taxes on top of the basic GST, which would serve as Pigouvian taxes. Individual state governments can choose how they wish to think about alcohol taxation. A carbon tax can potentially be layered on top of the GST. A state like Sikkim, which prizes environmental protection, may impose a sin tax on plastic consumption. We should decouple our thinking between two distinct problems: a single-rate GST and a collection of non-VATable sin taxes.

The distortion associated with a tax rate goes up in proportion to the rate squared. Hence, the low value (10 per cent) would have gone with a